SOLUTIONS – ETHICAL THREATS

QUESTION 1 (10 marks)

Evaluate the Flightlane plc engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

Hospitality provided by the client may result in familiarity threats. **(1 mark)** If the audit team attends the party, then the team may become too sympathetic or trusting because of a close relationship with the client, impairing team members' professional scepticism. **(2 marks)** The threat is exacerbated by the fact that the team has attended for several consecutive years.

The gift of the voucher may result in a self-interest threat. **(1 mark)** If team members accept the gift voucher, they are deriving a potential personal benefit from an audit client, which may motivate them to behave in a manner that aims to protect that benefit. **(2 marks)**

The FRC Ethical Standard requires that the audit team should not accept hospitality unless an objective, reasonable and informed third party considers its value trivial or inconsequential. It could be considered that the £40 vouchers are trivial in value, but it would be advisable to decline the gifts in future to maintain a visible professional distance from the client. **(2 marks)** It may be advisable to replace the current audit team to ensure independence is maintained. **(2 marks)**

Identification of threats – 2 marks
Explanation of threats – 4 marks
Safeguards – 4 marks

(10 marks)

QUESTION 2 (10 marks)

Evaluate the Blankow School Ltd engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

The secondment of Leanne to Blankow Ltd raises the possibility of a self-review threat. **(1 mark)** The financial statements are the subject matter of the audit. Leanne is unlikely to be sufficiently questioning of her own work and may be reluctant to highlight errors. **(2 marks)**

There is also a possibility of a management threat. **(1 mark)** Leanne may be expected to make decisions that are those of management during the preparation of the financial statements, and therefore her views may become too closely aligned with management. This may impair her ability to apply a proper degree of professional scepticism during the audit. **(2 marks)**

Leanne cannot assist with the preparation of the financial statements and fulfil the role of audit senior; therefore, she should not accept the temporary role. **(2 marks)**

The firm can assist with preparation of financial statements providing:

- It does not make management decisions.
- It does not initiate transactions.
- The work is of a technical, mechanical, formative nature only. **(2 marks)**

Identification of threats – 2 marks

Explanation of threats – 4 marks
Safeguards – 4 marks

(10 marks)

QUESTION 3 (10 marks)

Evaluate the Straff Ltd engagement, identifying any ethical threats, including the potential implications, and recommending appropriate safeguards to mitigate each threat.

The preparation of the tax return, including the identification of the relevant transactions, indicates a management threat. **(1 mark)** The decision as to how the transactions should be accounted for and included in the tax return is the responsibility of management. **(2 marks)**

As this activity has already been undertaken, there is no appropriate safeguard in the current year. It should be made clear to the client going forward that your firm cannot be involved in taking decisions as to how these transactions should be addressed. **(2 marks)**

There is also a potential advocacy threat. **(1 mark)** An advocacy threat arises when the auditor is asked to promote or represent its client in some way. In this situation, the auditor may be perceived as promoting Straff's interests to a third party (the tax authorities). There is a further risk of auditor bias towards the client, compromising objectivity. **(2 marks)**

The firm should not represent the client in any discussions with the tax authority. **(2 marks)**

Identification of threats – 2 marks Explanation of threats – 4 marks
Safeguards – 4 marks

(10 marks)

(Section Total: 30 marks)